

Income Tax Slabs FY 2025-26 (AY 2026-27) – New & Old Regime Tax Rates

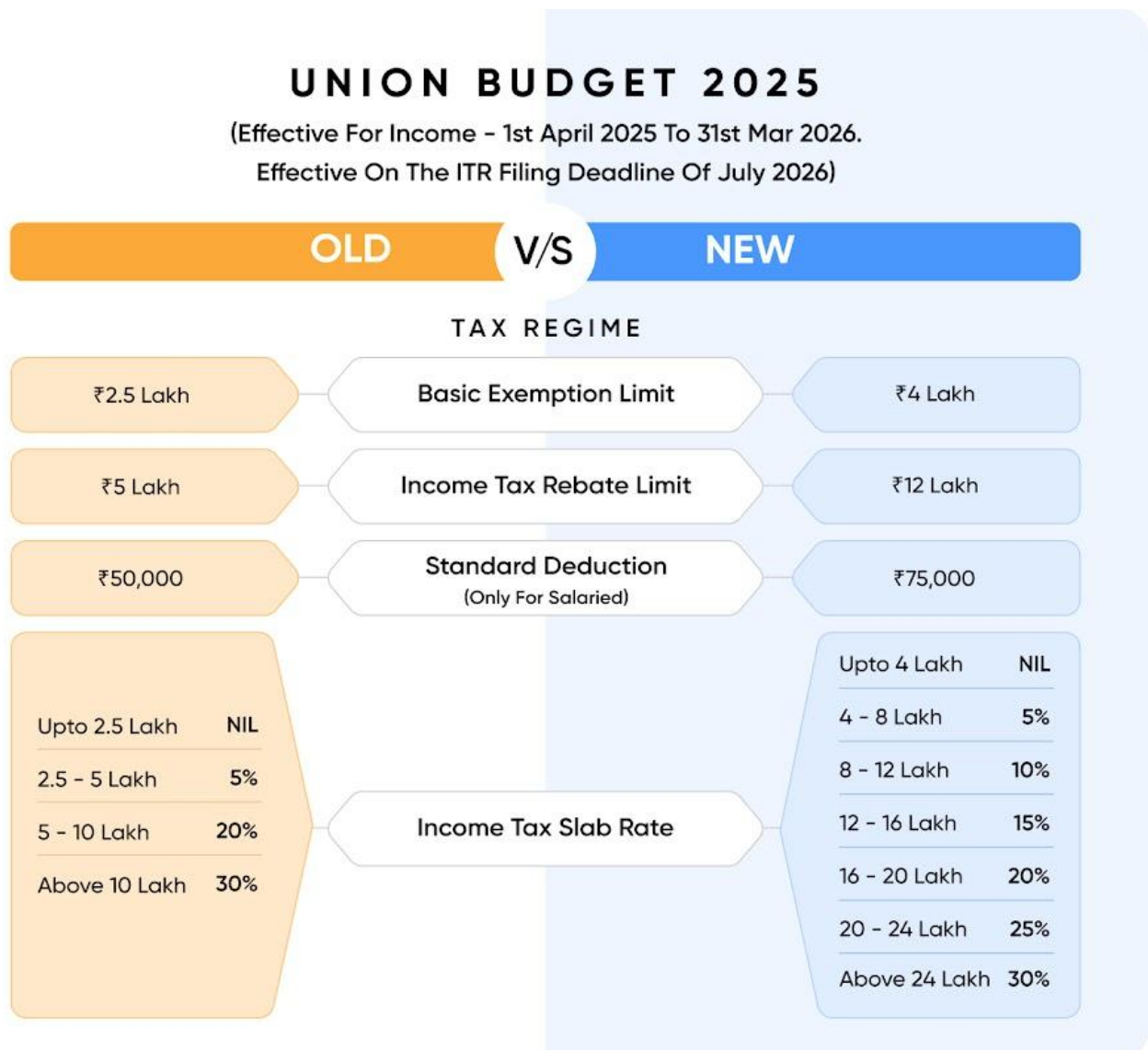
The **Union Budget 2025** has made significant changes in the New Tax Regime and understanding these changes becomes important for individuals for effective financial planning. The following comprehensive guide that delves into latest tax slabs, compares the old and new tax regimes, and provides practical insights for taxpayers.

It is important to understand that the new tax slabs are applicable from 1st April 2025 and thus available for Financial year 2025-26 i.e., Assessment year 2026-27.

Income Tax Slab Rates for FY 2025-26 (AY 2026-27)

Taxpayers have an **OPTION** to choose either:

- To pay income tax at lower rates as per New Tax regime on the condition that they forgo certain permissible exemptions and deductions available under income tax, Or,
- To continue to pay taxes under the existing tax rates. The assesses can avail rebates and exemptions by staying in the old regime and paying tax at the existing higher rate.



Rebate u/s 87A: The tax rebate under section 87A has been enhanced and increased upto Rs. 60,000.

Standard Deduction: The Standard Deduction for salaried individuals is Rs. 75,000

For salaried individuals, the tax liability will be zero for incomes up to Rs.12,75,000, due to the Rs.75,000 standard deduction under New Tax Regime.

NPS Deduction: The contribution to NPS tier I by the employer is eligible for deduction upto Rs. 14% of the basic salary with a maximum limit of Rs. 7,50,000 (including PF contribution).

Surcharge applicable as per tax rates below in all categories mentioned above:

- 10% of Income tax if total income > Rs.50 lakh
- 15% of Income tax if total income > Rs.1 crore
- 25% of Income tax if total income > Rs.2 crore
- 37% of Income tax if total income > Rs.5 crore (Old Regime)
- 25% of Income tax if total income > Rs.5 crore (New Regime)

Conditions for opting for a New Tax regime.

The taxpayer opting for concessional rates in the New Tax regime will have to forgo certain exemptions and deductions available in the existing old tax regime. In all there are 70 deductions & exemptions that are not allowed, out of which the most used are listed below:

Here is a comparison between the deductions and exemptions available under the new and the old tax regime:

Particulars	Old Tax Regime	New Tax Regime
Income level for rebate eligibility	₹ 5 lakhs	₹ 12 lakhs
Standard Deduction	₹ 50,000	₹ 75,000
Effective Tax-Free Salary income	₹ 5.5 lakhs	₹ 7.75 lakhs
Rebate u/s 87A	12,500	60,000
HRA Exemption	✓	X
Leave Travel Allowance (LTA)	✓	X
Professional Tax	✓	X
Car and Other Perquisites for official purposes (FBP)	✓	✓
Interest on Home Loan u/s 24b on self-occupied	✓	X
Interest on Home Loan u/s 24b on let-out property	✓	✓
Deduction u/s 80C (EPF LIC ELSS PPF FD Children's tuition fee etc)	✓	X
Employee's (own) contribution to NPS	✓	X
Employer's contribution to NPS	✓	✓
Medical insurance premium – 80D	✓	X
Interest on education loan – 80E	✓	X
Interest on Electric vehicle loan – 80EEB	✓	X
Exemption on voluntary retirement 10(10C)	✓	✓
Exemption on gratuity u/s 10(10)	✓	✓
Exemption on Leave encashment u/s 10(10AA)	✓	✓

Example for Old Tax regime Vs New Tax regime & which is better?

The new income tax regime is beneficial for people who make low investments. As the new regime offers seven lower income tax slabs, anyone paying taxes without claiming tax deductions can benefit from paying a lower rate of tax under the new tax regime.

That being said, if you already have in place a financial plan for wealth creation by making investments in tax-saving instruments; Mediclaim and life insurance; making payments of children's tuition fees; payment of EMIs on education loan; buying a house with a home loan; and so on, the old regime helps you with higher tax deductions and lower tax outgo.

In light of the above and considering the new income tax regime, if taxpayers want to opt for the concessional tax rates, they may evaluate both regimes. **Hence, it is advisable to do a comparative evaluation and analysis under both regimes and then choose the most beneficial one as it may vary from person to person. The comparative analysis is available in GreytHR under IT Declaration.**

Let's take an example of comparing the Old & New tax regime of an assessee with Rs 20 Lakh income.

Particulars	Old Tax Regime (Rs)	New Tax Regime (Rs)
Gross Income (after Standard Ded)	20,00,000	20,00,000
Deductions:		
u/Sec: 80C	1,50,000	—
u/Sec: 80D	25,000	—
u/Sec: 24(b)	2,00,000	—
Taxable Income	16,25,000	20,00,000
Tax Slab (OLD)		
0 to 2.50 Lakh	—	—
2.50 to 5.00 Lakh @ 5%	12,500	—
5.00 Lakh to 10.00 Lakh @ 20%	1,00,000	—
> 10.00 Lakh @ 30%	1,87,500	—
Tax Slab (NEW)		
0 to 4.00 Lakh	—	—
4.00 to 8.00 Lakh 5%	—	20,000
8.00 to 12.00 Lakh 10%	—	40,000
12.00 Lakh to 16.00 Lakh 15%	—	60,000
16.00 Lakh to 20.00 Lakh 20%	—	80,000
20.00 Lakh to 24.00 Lakh 20%	—	—
> 24.00 Lakh 30%	—	—
Income Tax	3,00,000	2,00,000
Cess @ 4%	12,000	8,000
Total Tax Outgo	3,12,000	2,08,000

Time of Selection of option of old vs new regime:

Nature of Income	Time of Selection of option of old vs new regime
Income from Salary or any other head of income attracting TDS	An employee can opt to choose for the new tax regime and intimate their employer at the beginning of financial year. Employees can change the option of selecting the tax regime every year However, if new tax slab regime is opted at the beginning of the year, it cannot be changed anytime during the year for TDS purpose, however the option can be changed at the time of filing of Income-tax return.
Income from Business & Profession	In case of Business or profession income, the option to choose between the tax regimes is available only once for a particular business.